

International trade & Globalization

Specialization of countries at a national level

Countries usually concentrate on producing those products they are best at making and which are in high global demand. What countries are best at producing is influenced by the quantity and quality of their resources. For example, a country with an abundance of fertile land, good irrigation, moist climate and a large number of workers may decide to concentrate on producing rice. Its average cost of producing the rice is likely to be low. A country with a good climate, good beaches and a good supply of labour may decide to concentrate on tourism. In contrast, Hong Kong, which has a very limited supply of land and a highly skilled labour force, concentrates on financial services.

Advantages and disadvantages of specialisation at a national level

The advantages and disadvantages for consumers

If countries specialise in what they are best at producing, the output should be higher. The higher output should enable consumers to enjoy more goods and services and hence have higher living standards. Specialization can enable the firms in the country concentrating on producing the product to develop skills and techniques in its production. This would raise the quality of the product. Specialization may also result in lower costs of production and the benefit of this may be passed on to consumers in the form of lower price.

There is a risk, however, that one country or a small number of countries may gain control of most of the global market for a product and may use its or their power to restrict supply and push up price. The Organization of Petroleum Exporting Countries (OPEC), a group of the major oil producing countries, has pushed up the price of oil in the past.

If consumers are buying products from foreign specialists, those firms may not follow the same health and safety standards as in the home country. Any problems that may occur in the countries that are producing the product, including natural disasters, may mean that the products are unavailable, at least for some time.

The advantages and disadvantages for firms

If firms specialise, they can produce the product on a large scale and this may enable them to take advantage of economies of scale, such as buying and technical economies. Firms can also buy their raw materials from specialist firms, which are producing high quality raw materials at low costs.

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Specialization means that countries have to trade (see advantages and disadvantages for the economy below). Engaging in international trade can help firms in the exchange of new management ideas, information about new products and new technology.

There are, however, a number of potential disadvantages for firms. One is that if firms become more dependent on other countries for the markets of the products they produce and for the source of their raw materials, they can be adversely affected by events in those countries. For example, foreign governments could put a tax on imports and may restrict the export of raw materials.

Firms could experience a fall in demand. Tastes may change, firms in other countries may become more efficient at producing the product or a substitute product may be developed.

The advantages and disadvantages for the economy

Generally, it is thought that international specialization and trade increases efficiency and economic welfare. By allowing an economy to concentrate on what it is most efficient at producing, its real GDP should be relatively high. Its output would also be higher than if it used its resources to produce products, the resources are not best suited to making. For example, the USA is a world leader in the development of aircraft technology, and has some of the most advanced capital equipment and skilled labour. This makes it one of the main manufacturers of aircraft. The USA is a major consumer of coffee, but it only produces a small amount of coffee, in Hawaii and California. This is because it does not have the right climate and its labour is more skilled in producing other products.

If an economy specializes on the basis of the quality and quantity of its resources, this should mean its resources will not be lying idle. For example, an economy with a large supply of unskilled labour may specialise in industries that are labor-intensive and do not require high skills. This can mean that there is little unemployment of labour.

As specialization is based on efficiency, it may also keep the inflation rate relatively low. The economy will be producing products at a relatively low cost and may have the opportunity to import from countries that are efficient at what they are producing.

Specialization may also enable an economy to build up a reputation in producing a particular product. This could attract both more sales and ancillary industries to set up in the country. It would also boost its sales of exports. In practice, however, it can be difficult to determine what an economy is best at producing and what will be in demand in the future. Indeed, concentrating on a few products is fine if demand for these products

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remains high and costs of production do not rise. If, however, demand suddenly falls or costs rise, the country can run into difficulties. Structural unemployment may increase if labour is occupationally or geographically immobile. Producing a wider range of products would spread risks.

High transport costs may also offset any cost advantage a country has in producing a product. If the goods are heavy and have to be transported long distances, it may be more efficient for the importing economies to produce them themselves.

The link between countries specializing and international trade

Producing a relatively narrow range of products will mean that countries will have to export some of their output. This is necessary for them to gain revenue for spending on imports of products that their citizens want to buy, but their countries are not producing.

The difference between international and internal trade

Trade involves the exchange of goods and services. International trade, which can also be referred to as external trade, is the exchange of goods and services between countries. In contrast, internal trade is trade within a country. Any trade involves risk and effort. A firm based in one part of the country, selling goods to individuals or firms in another part of the country, has to arrange and pay for transport and may have to wait for the payment of goods. International trade enables firms to reach a wider market, take greater advantage of economies of scale, source their products from a wider area and earn higher profits. It may, however, provide additional challenges to those posed by internal trade.

Buying and selling products across national boundaries may involve the products travelling greater distances. Firms may have to deal with buyers and sellers speaking different languages. If, for example, a Japanese firm is selling cars to South Africa it will have to produce advertisements, manuals and insurance plans in English and Afrikaans. There may be differences in culture in different countries and these will have to be taken into account in the type of products firms seek to sell and the method of marketing adopted. For example, it is not appropriate to try to sell alcohol to Saudi Arabia where the drinking of alcohol is prohibited. Trade restrictions may also make it difficult for firms to sell their product abroad. If foreign governments place tariffs on imports, it will raise the price of the products sold by the firms and prevent consumers from buying them. Selling and buying in foreign markets exposes firms to more competition. Some may respond by becoming more efficient, but others may struggle to survive. Firms engaged in international trade also have to deal with foreign currencies. For example, an Indian firm

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which sells textiles to a US store may be paid in dollars. It is likely to sell these for rupees. If the value of the dollar falls by the time the Indian firm agrees to a price in dollars and receives the payment, it will earn fewer rupees.

Globalisation

Globalisation is the process by which the world is becoming one market. Barriers are being broken down in terms of where people buy products from and where firms produce. There are an increasing number of global brands and multinational companies. Among the reasons for the greater interconnection between countries are:

- Reduced transport costs. Containerization and larger and more efficient ships, airplanes and trains have lowered the cost of moving goods.
- Advances in communications. Consumers can now purchase products online from anywhere in the world and are more in touch with trends in other countries. Executives of multinational companies (MNCs) can also keep in close contact with managers of foreign branches.
- Removal of some trade restrictions. The general trend has been for tariffs and quotas to be reduced

The consequences of globalisation

Globalisation has both advantages and disadvantages. It is increasing competition, with consumers being able to buy a greater range of products at relatively low prices. It is also encouraging firms to locate some of their production in the most efficient locations.

It is, however, making economies more susceptible to external shocks. The greater the integration of economies means that a recession in one economy can have a significant impact on other economies. Government policy is also, to some extent, constrained by globalisation. For example, a government may be reluctant to increase the rate of corporation tax for fear that some MNCs will relocate to other countries. The ability of MNCs to shift production from branches in one country to other countries can cause structural unemployment. Some workers may also lose their jobs because of the increased competition that is arising from the breaking down of barriers between national markets. This is increasing the importance of occupational mobility.

Role of multinational companies (MNCs)

A multinational company (MNC) is a business organization that produces in more than one country. For example, the US based McDonalds has outlets in many countries, the UK

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based Lloyds Bank has branches in a range of countries, the Japanese based Toyota has factories in a number of countries and the Indian based Tata Group produces in a high number of countries.

Most MNCs are public limited companies, but an increasing number of state-owned enterprises (SOEs) are now producing internationally. For example, the Chinese state-owned oil giant, the China National Offshore Oil Company (CNOOC) operates in a number of countries. There are a number of benefits MNCs hope to gain by spreading their operations to more than one country. Producing in countries where products are sold rather than exporting to those countries will reduce the MNCs' transport costs and enable them to keep in close contact with the market. It may also enable them to get around any restrictions on imports, to gain access to cheaper labour and raw materials.

They may also receive grants from the governments of the countries in which they set up their franchises. MNCs can have a number of effects on the countries in which they are located, that is their host countries, some beneficial and others harmful. They can increase employment, output and tax revenue, bring in new technology and management ideas and help in development of infrastructure. They may, however, be more prone to pollute and willing to close down plants in foreign countries. Their size and their ability to shift production may mean that they can put pressure on the governments of the host countries in which they have plants, to give them tax concessions and not to penalize them for poor safety standards. In addition, although MNCs may increase employment, there is a risk that they may drive domestic firms out of business. The profits they earn may be paid to shareholders in their home countries rather than being reinvested in the host country.

Recent years have seen the growing importance of MNCs. These companies are increasingly seeing countries, throughout the world, as their markets and possible locations for production. Besides setting up the operating plants abroad which produce the complete finished good, they are also spreading different parts of the production process to different countries. For example, an MNC producing cars may base its design in a country with a strong tradition in design, its assembly in a country with a skilled but low-cost labour force and its administration and marketing in other countries. In fact, the production process of some products is spread over more than fourteen countries.

The benefits of free trade

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Free international trade occurs when there are no restrictions on the products bought by firms and consumers from abroad or products sold by firms to other countries and no imposition of special taxes.

Such unrestricted trade should allow countries to concentrate on what they are best at producing and hence allow for an efficient allocation of resources. If countries are able to exploit their comparative advantage fully, then world output, employment and living standards should be higher than if resources were less efficiently allocated. Selling freely to a global market should enable firms to take greater advantage of economies of scale, raise competitive forces and give them access to more sources of raw materials and components. These effects should lower prices for consumers, raise the quality of products they buy and also gain from a greater choice of products.

The reasons for and consequences of protection

A number of reasons are presented for protecting domestic industries. Some favour protection of particular domestic industries while some advocate protection of all domestic industries. The strength of the arguments varies.

- Protection of infant industries. These industries are also called sunrise industries. The argument is that such new industries, which have the potential to grow, may be eliminated by foreign competition before they have really started. Giving them some protection may enable them to grow, take advantage of economies of scale and become internationally competitive. It can, however, be difficult to identify the new industries which indeed have such a potential. There is also the risk that the industries will not respond to the opportunity by becoming more efficient but may become dependent on the protection.
- Protection of declining industries. These industries are also known as sunset industries. In a dynamic economy, some industries are likely to be declining. If other industries are expanding and labour is mobile, this may not be a problem. However, if labour is immobile and there is a shortage of job vacancies, the decline of a major industry may lead to a significant rise in unemployment. A government may decide to protect the industry to allow it to decline gradually, in order to avoid this. As workers retire and leave of their own accord, the protection can be removed. Owners of the industry, however, may resist the removal of the protection.
- Protection of strategic industries. These are industries essential for the survival or development of the country. Most governments provide some protection to their agricultural and defence related industries, to ensure consistency of supplies. A

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country that is dependent on imports of food and weapons, runs the risk of its supplies being cut off due to wars or natural disasters. A government might also consider that protecting the growth of clean energy industries and next generation IT industries may promote the economic development of the country.

- Raising employment and improving the trade position. Reducing imports can enable domestic firms to expand and take on more workers. This would raise employment and income. There is a high risk, however, of retaliation. If other countries do respond by imposing trade restrictions, the country will buy fewer imports but will also sell fewer exports. So employment, income and the trade position may not improve. Restricting imports of raw materials may be particularly harmful as it will raise domestic firms' costs of production.
- Protection of industries from low wage competition. This is not a strong argument in favour of protection. Low wages do not necessarily mean low costs of production. A foreign industry may pay low wages but if the productivity of its workers is low, its average cost of production may be high. If both wages and costs are low, it may mean that a foreign industry has a comparative advantage. If this is the case, then under conditions of free trade, demand for the industry's products is likely to rise and this higher demand will probably push up wages.
- Protection of industries from dumping. It is generally agreed that trade restrictions can be imposed to prevent dumping as this is seen as unfair competition. This occurs when foreign firms sell products at a price below the cost of production. Foreign firms may be engaging in what is sometimes called sporadic dumping. This is selling excess supplies in other countries, in order to keep the price high in the domestic market. A more damaging motive behind dumping is to drive domestic firms out of the market, gain a large market share and then raise prices. This form of dumping, sometimes called predatory dumping, may benefit consumers in the short run. In the long run, however, it may result in a less efficient allocation of resources and the foreign firms gaining more market power, reducing choice and raising price. This is because it makes it very difficult for domestic firms to compete, even if their costs are lower.
- Protecting industries from other forms of unfair foreign competition. Another reason why foreign firms may be gaining an unfair competitive advantage is that they may be enjoying subsidies by their governments. This would again mean that there is not a level playing field.

The strongest arguments for protecting domestic industries are probably the infant industry, strategic industry, protection from dumping and protection from firms that are subsidized by foreign governments.

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The key arguments against protection are that it can result in lower choice, higher prices, inefficiency and retaliation. These arguments are stronger against protecting declining industries, raising employment and improving the trade position and protecting industries from low wage competition.